

Further evidence of how deeply corporations have become permeated with bullish stock market psychology comes from the fact that the biggest trend today in directors' compensation is payment in the form of stock and stock options. Some major companies pay directors *nothing* but stock options. After all, they're better than cash!

Finance has become so lucrative and running a business so difficult that Kansas City Southern Industries tried to sell its flagship railroad unit so that the company can focus on mutual fund asset management. The announcement caused the stock to rally 11% in one day on four times normal volume. Why? Because everyone knew that they had made a smart decision. Question: If industry disappears, what will stock market mutual fund portfolios contain?

Government Optimism

Government has become optimistic as well. In 1934, two years after the Supercycle low, laws were passed to restrict the activities of investment providers. Today, the SEC is more inclined to *reduce* restrictions. It is considering one proposal allowing insurance companies to offer investment packages, and another allowing mutual fund companies to sell funds by mail and through newspaper ads without first furnishing the formal offering document known as a prospectus.

In recent weeks, a U.S. Congressman has proposed that the Social Security trust fund be allowed to invest in *equities*, not just Treasury bonds as it has in the past. "Listen, guys. It could save the program!"

Optimism is not limited to the federal level. Several states in the U.S. are discussing establishing stock funds for investing their own money. Why? Because stock investing will so assuredly bring in steady profits that they will not have to raise taxes! It took over two hundred years of stock price rise in a Grand Supercycle to entice state governments into such undertakings. There is little question that this plan will lead to huge losses in the bear market, and as a result, *higher* taxes than would have existed otherwise.

Buy-and-Hold is a Stance, Not a Philosophy

The Elliott Wave Theorist took a "buy and hold for the long term" stance back in the late 1970s and early 1980s, when the idea was out of favor. At that time, fundamentals reflected what appeared to be the worst of all possible worlds, therefore being the best of all